QP CODE: 25901141

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BBA (HONOURS) REGULAR EXAMINATION MARCH 2026

FOURTH SEMESTER

Core Course (CC) - MG4CCRBBA200 - BUSINESS ENVIRONMENT AND PUBLIC POLICY

(2024 ADMISSION ONWARDS)

Part - A

Short Answer Questions (four to five sentences)

Each question carries 3 marks

1a. What do you understand by ASEAN (Association of Southeast Asian Nations)? [U] / [CO2]

Ans: ASEAN (Association of Southeast Asian Nations) is a regional organization established in 1967 to promote economic growth, political stability and cooperation among Southeast Asian countries. It includes nations like Indonesia, Malaysia, Thailand, Singapore and the Philippines. Its main objective is to strengthen regional integration and mutual development**.**

OR

1b. Explain the role of LPG reforms in attracting foreign investment. [U] / [CO2]

Ans: LPG reforms (Liberalization, Privatization and Globalization) reduced government restrictions and opened the Indian economy to global markets. They encouraged private sector participation and allowed foreign companies to invest easily. As a result, foreign investment increased due to improved business environment and growth opportunities.

2a. Explain any three functions of IMF. [U] / [CO2]

Ans: The following are the functions:

- International Monetary Fund (IMF) provides financial assistance to member countries facing balance of payment problems.
- It ensures exchange rate stability and promotes smooth international trade.
- It also offers technical assistance and policy advice to improve economic management.

OR

2b. Explain the India–Bhutan Agreement on Trade, Commerce and Transit. [U] / [CO2]

Ans: The India–Bhutan Agreement on Trade, Commerce and Transit facilitates free trade and movement of goods between the two countries. It allows Bhutan to use Indian territory for transit of goods to third countries. The agreement strengthens economic cooperation and mutual development between India and Bhutan.

3a. Explain the meaning of Industrial Policy. [U] / [CO3]

Ans: Industrial policy refers to the set of government rules and strategies aimed at regulating and promoting industrial development in a country. It guides the growth of industries by deciding areas like investment, production and technology. The main objective is to achieve economic growth, balanced development and increased employment.

OR

3b. Explain the role of the Verma Committee (1996) in banking sector reforms. [U] / [CO3]

Ans: The Verma Committee (1996) was formed to strengthen the Indian banking system by recommending key reforms. It emphasized improving capital adequacy, reducing non-performing assets (NPAs) and enhancing risk management practices. The committee helped in making banks more efficient, stable and competitive.

4a. Explain the objectives of FERA and FEMA. [U] / [CO3]

Ans: The objective of FERA (Foreign Exchange Regulation Act) was to strictly control and regulate foreign exchange transactions in India. FEMA (Foreign Exchange Management Act) aims to facilitate external trade and payments and promote orderly foreign exchange markets. While FERA focused on control, FEMA focuses on management and liberalization of foreign exchange.

OR

4b. What is EXIM policy? [U] / [CO3]

Ans: EXIM policy (Export-Import Policy) refers to the set of government guidelines that regulate and promote a country's exports and imports. It aims to boost international trade, earn foreign exchange and support economic growth. The policy also provides incentives and facilities to exporters.

5a. State any three limitations of digital payments. [K] / [CO4]

Ans: The following are the limitations:

- Digital payments are subject to security risks such as hacking and fraud.
- They depend on internet connectivity and technology which may not always be reliable.
- Lack of awareness and digital literacy among users is another major limitation.

OR

5b. What is the "Brain Drain" or "Dependency" risk for a company that outsources its core functions? [K] / [CO4]

Ans: Brain drain or dependency risk occurs when a company loses its internal expertise by outsourcing core functions. The firm becomes over-dependent on external service providers for critical operations. This can reduce control, innovation and long-term competitiveness of the company. [5x3 = 15]

Part - B

Short Essay
Each question carries 5 marks.

6a. A manager must choose between promoting a qualified employee or a relative who is less competent. Promoting the relative may maintain family relationships, but it may reduce fairness in the workplace. Explain the ethical dilemma in the case and describe the importance of ethical decision making in business. [U] / [CO1]

Ans: The ethical Dilemma in the Case is that the manager faces a conflict between personal interest and professional ethics. Promoting a relative may maintain family relationships, but it violates fairness and merit-based selection. This creates an ethical dilemma between loyalty and justice.

Importance of Ethical Decision Making in Business:

- Ensures Fairness and Transparency
- Builds Trust and Reputation
- Improves Employee Morale
- Supports Long-term Success

OR

6b. ABC Ltd., a listed company, ensures transparency in financial reporting and conducts regular board meetings. It treats shareholders fairly and follows ethical business practices. The company complies with regulatory guidelines issued by authorities and maintains good relationships with employees, customers and investors. Identify and explain the principles and stakeholders of corporate governance reflected in the case. [U] / [CO1]

Ans: The Principles and the Stakeholders identified in this Case are as follows:

The Principles of Corporate Governance:

- Transparency
- Accountability
- Fairness
- Responsibility

Stakeholders Identified:

- Shareholders
- Employees
- Customers
- Investors
- Government/Regulatory Authorities

7a. Mega Foods Ltd depends on suppliers and distributors for smooth functioning. It faces competition from both local and global companies. Economic recession has reduced purchasing power. Government policies and legal rules affect pricing decisions. Technological developments are changing marketing strategies. Explain the micro and macro environmental factors present in the case and report how they affect business decisions. [U] / [CO1]

Ans: The following are the Micro and Macro Environmental Factors

Micro Environmental Factors:

- Suppliers and Distributors
- Competitors (local and global)

These factors directly impact day-to-day business operations and competitiveness.

Macro Environmental Factors:

- Economic Factors (Recession)
- Government Policies & Legal Rules
- Technological Factors

These factors affect the overall business environment and long-term decisions.

OR

7b. An organization notices a drop in employee productivity due to unclear reporting lines and conflicts among managers. Describe the internal factors responsible for this issue and discuss how the company can resolve them. [U] / [CO1]

Ans: The following are the internal factors responsible:

Internal Factors:

- Unclear Organizational Structure
- Poor Communication
- Managerial Conflicts
- Role Ambiguity

Solutions to Resolve the Issue:

- Define Clear Reporting Structure
- Improve Communication
- Conflict Management
- Clarify Roles and Responsibilities

8a. Analyse how the synergy between technological growth, the digital economy, and the expansion of Multinational Corporations (MNCs) has redefined India's position in the global business landscape. [An] / [CO4]

Ans: The combined impact of technological growth, digital economy and expansion of MNCs has significantly transformed India's global business position.

Technological Growth:

- Adoption of AI, automation and IT services has improved productivity
- Strengthened India's position as a technology hub (especially IT sector)

Digital Economy:

- Growth of e-commerce, digital payments and online platforms
- Increased financial inclusion and ease of doing business

Expansion of MNCs:

- Inflow of foreign investment and advanced technology
- Creation of employment opportunities
- Integration with global markets

Synergy Effect:

- Technology supports digital platforms
- MNCs use digital infrastructure for operations
- Combined effect boosts innovation, efficiency and competitiveness

OR

8b. Explain how franchising reduces entrepreneurial risk compared to independent start-ups. [An] / [CO4]

Ans: Franchising is a business model where an entrepreneur operates under an established brand name and proven system**.**

How Franchising Reduces Risk:

- Established Brand Recognition
- Proven Business Model
- Training and Support
- Lower Marketing Risk
- Easier Access to Finance [3×5 = 15]

Part - C

Long Essay

Each question carries 20 marks.

9a. Explain how free trades are beneficial for a nation. [U] / [CO2]

Ans: Free trade refers to the exchange of goods and services between countries with minimal or no restrictions such as tariffs, quotas or regulations**.**

Benefits of Free Trade:

- Access to Larger Markets
- Lower Prices for Consumers
- Efficient Resource Allocation
- Economic Growth
- Increased Competition
- Technology Transfer
- Employment Generation

OR

9b. Explain how foreign investment contributes to technology and skill development. [U] / [CO2]

Ans: Foreign investment refers to the investment made by foreign companies or individuals in a country's business activities, bringing capital, technology and expertise.

Contribution to Technology Development:

- Transfer of Advanced Technology
- Innovation and R&D
- Improved Production Methods

Contribution to Skill Development:

- Employee Training
- Knowledge Sharing
- Managerial Skill Development

10a. What is Public Policy? What are the significances of public policy in the development of a nation? Give examples of three different public policies adopted by your state government. [U] / [CO3]

Ans: Public policy refers to the actions, decisions and programs implemented by the government to solve public problems and promote the welfare of society.

Significance of Public Policy:

- Economic Development
- Social Welfare
- Resource Allocation
- Regulation and Control
- Reducing Inequality

Examples of Public Policies in Kerala (Any Three):

- Kudumbashree Programme
- Public Healthcare Policy (Aardram Mission)
- Digital Kerala Initiative
- LIFE Mission (Livelihood Inclusion and Financial Empowerment)
- Haritha Kerala Mission
- Kerala Start-up Mission (KSUM)
- Mid-Day Meal Scheme
- Karunya Health Scheme
- e-Governance Initiatives (Akshaya Project)

OR

10b. Describe the tools of Fiscal Policy and compare them with the instruments of Monetary Policy. [U] / [CO3]

Ans: Fiscal policy and monetary policy are important tools used to achieve economic stability and growth. Both policies work together to maintain economic stability, control inflation and promote growth.

Tools of Fiscal Policy:

- Taxation
- Government Expenditure
- Public Borrowing
- Budgetary Policy

Instruments of Monetary Policy:

- Repo Rate
- Cash Reserve Ratio (CRR)
- Open Market Operations (OMO)
- Bank Rate

Fiscal Policy	Monetary Policy
Controlled by Government	Controlled by RBI
Focuses on taxation & spending	Focuses on money supply
Direct impact on economy	Indirect impact through banks
Used for long-term goals	Used for short-term control

[2×20 = 40]

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